

HOUSE BILL 2425

By Howell

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 3, Part 10 and Title 11, Chapter 8, relative
to the Ocoee River.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 11-8-103(e), is amended by deleting
the subsection and substituting:

(e)

(1) Subject to availability of sufficient moneys in the development fund
beyond those needed for expenditures for the purposes stated in subsection (d),
the commissioner and the board may use the development fund for expenditures
for the following purposes:

(A) Infrastructure upgrades to the Ocoee River management
zone;

(B)

(i) Tourism promotion and economic development
activities that benefit the Ocoee River management zone,
including, but not limited to:

(a) Hiring persons to coordinate community and
outdoor events on the Ocoee River; and

(b) Contributing funds to events operated on the
Ocoee River for the benefit of a nonprofit organization,
including such organizations other than those created or
established by the board under § 11-8-105(a)(3); and

(C) Other reasonable expenses as determined by the commissioner or the board to be necessary to carry out the intent of this chapter, including expenses for professional services, if necessary, to conduct the business of the board.

(2) Any expenditures made by the board under subdivisions (e)(1)(A) and (C) must first be approved by a simple majority vote of the board.

SECTION 2. Tennessee Code Annotated, Section 11-8-104(b)(1)(A), is amended by deleting the subdivision and substituting:

(A) The director of the division of state parks in the department of environment and conservation who, effective July 1, 2026, shall complete the remaining term of the manager of the Hiwassee/Ocoee Scenic River State Park and serve in such position as a member of the board thereafter;

SECTION 3. Tennessee Code Annotated, Section 11-8-107(e), is amended by deleting the subsection and substituting:

(e)

(1) Persons issued and possessing a permit as of June 30, 2024, may transfer the permit with prior written approval of the commissioner:

(A) To a member of the person's immediate family;

(B) Pursuant to a purchase and sale agreement; or

(C) As authorized by department rule.

(2) On or after July 1, 2026:

(A) The department shall not issue more than twenty-four (24) permits pursuant to this section, and, as permits are revoked or otherwise not renewed after such date, the department shall reduce the maximum number of permits issued to twelve (12); and

(B)

(i) If a permit issued pursuant to subdivision (e)(1)(A) is revoked or if a permittee operating a commercial operation conducting business within the Ocoee River management zone goes out of business, then the person whose permit is revoked or whose commercial operation goes out of business may not apply for a subsequent permit to conduct business within the management zone; and

(ii) A permit to operate a commercial operation conducting business within the Ocoee River management zone must not be issued, except to:

(a) Purchasers of businesses conducting such business within the management zone on or after the date of revocation or date the businesses closed, as applicable; and

(b) Immediate family members to whom ownership of such businesses is transferred on or after the date of revocation or date the businesses closed, as applicable.

(3) As used in this section, "immediate family" means a spouse, child, stepchild, brother, sister, son-in-law, daughter-in-law, parent, or grandparent.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it.